BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

June 24, 2025

Rebuttal Testimony of:

Municipal Infrastructure

Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.

MUNICIPAL INFRASTRUCTURE SUPPORT PANEL
REBUTTAL TESTIMONY

Q. Please state your names.

A. Our names are Nicholas Inga, Cherno Cham, Dennis Brady and John Minucci.

Q. Have you previously submitted testimony in this proceeding?

A. Yes, we previously submitted testimony on behalf of Consolidated Edison Company of New York, Inc. ("Con Edison" or "Company") as the Municipal Infrastructure Support Panel.

Q. What is the purpose of your additional testimony?

A. We are responding to the testimony of the following parties:

- Staff Municipal Infrastructure Support Panel ("SMISP") regarding recommended adjustments to Con Edison's electric and gas interference capital and O&M budget requests; critique of the Company's regression-based forecasting methodology; alternative budget derivation using historical averages; and SMISP's opposition to proposed full reconciliation mechanisms for capital and O&M expenditures.

- NYC witness Chait regarding support for continuation of the existing mechanisms for recovery and reconciliation of interference capital and O&M, with a recommendation that any authorized upward reconciliation of interference net plant be conducted separately without a surcharge.

To the extent that an issue is raised by Staff or intervenors but not addressed specifically by this Panel, the positions stated therein should not be viewed or considered to have been accepted by the Company.

REBUTTAL

Capital Projects And Programs

Electric Capital Budget

Q. Does Staff propose any adjustments to the Company's Interference Electric Capital Budget?

A. Yes, the SMISP recommends an electric capital budget of $ $147.0 million, $150.5 million, and $153.8 million for RY1, RY2 and RY3, respectively. These recommended budgets reflect a decrease in funding from

Con Edison's projected costs by $21.5 million, $17.6 million, and $13.8 million for RY1, RY2 and RY3, respectively.

Q. Please explain Staff's reasoning for this reduction.

A. The SMISP does not support the Company's proposed electric capital budget, citing concerns regarding Con Edison's use of the 7-year regression analysis in forecasting and that the Company has not identified a project that could have a significant impact on the electric interference budget.

Q. How did the SMISP come to this conclusion?

A. Staff took the three-year average of the actual electric capital interference costs from 2022 through 2024, removed the Company's historical actual costs associated with New York City's Coastal Resiliency project, and then applied an inflation adjustment for the three future rate years.

Q. What was Staff's justification for removing historical actual costs associated with the East Side Coastal Resiliency project?

A. Staff removed these costs because the Company did not provide an example of a similar project upcoming in the rate period.

Q. Do you agree with Staff's adjustments to the Company's electric capital budget forecast?

A. No, we do not. The Company's regression model provides a balanced and reasonable approach to set a core level of funding in the absence of a defined work plan over which the Company has control to accurately predict expected costs in a future rate period. The Company model is a portfolio-level historical model that does not introduce project specific variables. In its direct testimony, the Company presented Exhibit ___ (MISP-1). This exhibit summarized the New York City of Office of Management and Budgets' proposed forecasts for highway, highway bridge, water main 1, water main 6 and sewers categories that NYC forecasts at $1.68 billion for FY'25, $2.05 billion for FY'26 and $3.05 billion for FY'27. This escalation in proposed expenditures from NYC is not included in Company forecasts.

As discussed later in this testimony, the Company's budget model coupled with the Company's reconciliation proposal are intended to provide critical funding at a level needed to support utility costs incurred during municipal projects, while enabling a reconciliation should either the Company or Staff not accurately forecast.

Q. Does Staff make any additional assertions about the electric capital interference budget?

A. Yes. The SMISP further asserts that the Company's regression-based approach to forecasting electric capital interference costs is unreliable due to multiple flaws. According to Staff, the Company's models are statistically insignificant or even show negative correlations between NYC capital spending and interference costs, with none of the seven-year models meeting both criteria of being positive and statistically significant. Additionally, Staff contends that some Company models predict lower interference costs when NYC spending increases, contradicting the Company's own rationale. Compounding

these issues, the models exclude capital spending from New York State and Westchester, omitting potentially material drivers and further weakening the forecast's credibility.

Q. Do you agree with Staff's assessment of the historical spend as it related to the forecasted budget?

A. No, we do not. The Company did not add Westchester and New York State expenditures to the historical regression model as the Company does not have access to that information and the City of NY is the largest scope and cost driver of Company interference expenditures. Additionally, the Company disagrees with Staff that the use of a three-year average is an appropriate basis for forecasting given its shorter timeframe when compared to the Company's seven year regression model.

Gas Capital Budget

Q. Does Staff propose any adjustments to the Company's Interference Gas Capital Budget?

A. Yes. The SMISP recommends a gas capital budget of $64.2 million, $65.9 million, and $67.5 million for

RY1, RY2, and RY3, respectively—reductions of $16.5 million, $16.6 million, and $16.9 million from the Company's proposed budgets.

Q. What is the basis for Staff's proposed reduction?

A. Staff applies the same methodology used for the electric capital budget: a three-year average of actual gas capital interference costs from 2022 through 2024, adjusted for inflation. Staff rejects the Company's regression-based forecast, citing the same concerns raised in the electric context — namely, that the models are statistically weak, sometimes yield illogical results (e.g., lower costs with higher NYC spending), and exclude capital activity in New York State and Westchester. According to Staff, these flaws undermine the reliability of the forecast and justify the use of a historical average instead.

Q. Do you agree with Staff's assessment of the gas capital budget forecast?

A. No, we do not. As explained above with respect to the electric capital forecast, the Company's approach to forecasting gas capital interference expenditures

using a regression model has statistical relevance and provides a rational, data-driven framework for anticipating future municipal interference costs in the absence of project-specific certainty.

Q. Do you agree with Staff's recommendation that inflation be addressed within the MISP panel forecasts?

A. No, we do not. Inflation is addressed in the Company Accounting Panel's testimony.

Q. Do you agree with Staff's recommendation to reduce forecasts based upon the absence of a single or small number of large project(s) that characterize(s) a significant portion of future investment?

A. No, we do not. The MISP forecast is based on anticipation of a total municipal investment level, recognizing that future infrastructure activity is driven by cumulative citywide planning rather than the presence or absence of any single large-scale project.

Capital Reconciliation

Q. Does the SMISP recommend any changes to the Company's proposal on reconciliation of capital interference costs?

A. Yes. The SMISP recommends applying the existing gas capital reconciliation mechanism to both electric and gas capital expenditures. This approach includes a downward-only reconciliation of net plant targets, with limited upward reconciliation for certain interference-related capital costs.

Q. Does Staff explain its rationale for this recommendation?

A. Yes. Staff explains that the Company has not identified any major projects, such as the East Side Coastal Resiliency Project, that would justify maintaining the current electric reconciliation mechanism, which was originally designed around such large-scale efforts. To address the uncertainty inherent in interference work while promoting cost control, Staff proposes aligning electric capital

reconciliation with the more structured and limited gas reconciliation framework.

Q. What is Staff's recommendation for the reconciliation of electric capital expenditures?

A. Staff recommends adopting the gas capital reconciliation mechanism for electric capital expenditures. This includes a downward-only reconciliation of net plant targets and allows limited upward reconciliation for specific interference-related capital costs, such as those arising from changes in customary practice or large-scale municipal infrastructure projects exceeding $100 million in total cost.

Q. Do you agree with Staff's rationale?

A. No, we do not. The Company's regression model, when paired with the Company's proposed reconciliation mechanism, establishes a levelized and adaptive funding framework for timely cost recovery for interference work, balancing ratepayer protection with the Company's obligation to meet infrastructure requirements at the time of construction.

Q: Does NYC witness Chait recommend any changes to the Company's proposal on reconciliation of interference capital costs?

A: Yes. NYC witness Chait supports continuation of the existing mechanism for recovery of interference capital but recommends that if the Commission authorizes upward reconciliation of interference net plant, it should be reconciled separately to the net plant target and no surcharge should be implemented.

Q: Do you agree with NYC witness Chait's recommendations on the Company's proposed reconciliation mechanism for interference capital?

A: No, we do not. The Company does not agree with NYC witness Chait's recommendation. The Company's proposed reconciliation mechanism and funding framework provides rate payer protection while ensuring continued Company support of municipal projects.

O&M Projects and Programs

Municipal Interference O&M Expenses

Q. Did the SMISP have any recommendations related to the Company's O&M costs for interference work?

A. Yes. Staff recommended adjusting the Company's Rate Year 1 forecast for non-company labor interference O&M expenses. This recommendation was based on concerns with the Company's regression-based forecasting methodology, particularly its use of aggregated O&M data and failure to account for year-to-year fluctuations in commodity-specific non-labor interference costs. Additionally, Staff contends that the Company's forecast fails to account for the actual year-to-year fluctuations in commodity-specific non-labor municipal interference expenses, and that these costs have varied significantly across years and commodities, and the forecast should reflect these historical patterns to be accurate.

Q. How did the Staff calculate its recommended adjustment?

A. The SMISP calculated annual growth rates in O&M for calendar years 2020 through 2024 using actual non-labor interference costs, excluding accounting entries like reconciliations. They then developed a four-year average annual growth rate — 3.31% for electric and -4.03% for gas—and applied these rates to the Company's actual 2024 interference expenses. This resulted in a Rate Year 1 forecast of $143.563 million for electric and $23.215 million for gas, representing reductions of $16.631 million and $8.164 million, respectively, from the Company's proposed forecasts.

Q. Do you agree with Staff's methodology?

A. No, we do not. The Company's approach of aggregating electric, gas and steam O&M for labor and non-labor includes a step to break down O&M expenses into the proportional commodity and split between labor and non-labor. See IR – DPS-14-394-SUPP, Exhibit MISP-2, which demonstrates how the Company deconstructs an aggregated O&M forecast into each commodity by labor and non-labor value. Should the Company incur a significant change in municipal planning during this

rate year, applying Staff's interference calculations in a future rate period will result in significant underfunding of the Gas O&M budget.

Interference O&M Reconciliation

Q. Does Staff agree with the Company's proposed modification to its existing interference O&M reconciliation?

A. No. Staff does not agree with the Company's proposal to replace the current partial and asymmetrical reconciliation mechanism with a full and symmetrical one. Staff recommends continuing the existing mechanism without modification.

Q. Did Staff explain their reasoning for their recommendation?

A. Yes. Staff explained that while interference expenses are largely outside the Company's control, they do not agree that a reasonable forecast for Rate Year 1 cannot be made. In fact, Staff pointed to the Company's own data showing that actual non-Company labor interference expenses in 2023 varied by only ±3%

from the rate allowances, and that similar stability was observed in 2022 and 2024. Additionally, Staff expressed concern that a full and symmetrical reconciliation would eliminate the Company's incentive to control costs, since ratepayers would bear 100% of any overages. Although the Company argued that it has historically minimized interference expenses even under full reconciliation, Staff noted that those reconciliations typically included a sharing mechanism, which preserved cost-control incentives. Therefore, Staff concluded that the current partial and asymmetrical reconciliation mechanism remains appropriate and should not be modified.

Q. Do you agree with Staff's assessment?

A. No, we do not. The Company has been able to attain expenditures at or near annual budgets in recent fiscal years without burdening the ratepayer. Should the Company be offered lower starting points in funding, this will place undue hardship on the Company and the municipalities performing interference projects for the health, safety and benefit of the

citizens of New York. Likewise, the challenge from Staff that there must be a like and kind replacement project to the East Side Coastal Resiliency does not account for future phases of the project to construct around the southern tip of Manhattan, nor the various task order contracts (e.g., pedestrian ramps and catch basins) or account for an increase in total project volume (and locations) which are similarly as risky as one large phase of the East Side Coastal Resiliency project.

Q: Does NYC witness Chait support the Company's proposal on reconciliation of interference O&M costs?

A: No. NYC witness Chait supports continuation of the existing O&M interference reconciliation mechanism without modification.

Q: Do you agree with NYC witness Chait's recommendations on the Company's proposed reconciliation mechanism for interference O&M?

A: No, we do not. Similar to the Company's response to the capital recommendation from NYC witness Chait, the Company's proposed funding along with reconciliation

is necessary to provide a balanced approach to interference funding.

Q. Does this conclude your rebuttal testimony?

A. Yes, it does.